

Paperluz Industry Intelligence Weekly Issue 006

Intelligence Period: 2026-08-29 ~ 2026-09-04 (2026 Week 36, Published every Friday) Published: 2026-09-04

Publisher: Luznet / Paperluz Industry Intelligence

Main Theme North American Containerboard 9/1 Price Hike Fully Realized × Suzano Hikes Asian Pulp Quotes by \$20/ton × China GB 4806.10-2025 Coating Standard Enacted × Cheng Loong H1 Net Profit Surges 52x

North American Containerboard 9/1 Hike +\$80~140 / ton Enacted in September invoicing · PCA/IP/SW 63% capacity oligopoly pushes full realization; Raw Material Spread breaks record at \$835/short ton	Suzano Asian Pulp Price Hike +\$20 / ton First price hike since April · Cerrado 2.55M ton capacity fully absorbed; hardwood establishes solid floor with Asia USD quotes advancing	China Imported NBSK Spot Price USD 685 / ton 4,865 RMB/ton (+45 RMB WoW) · Pre-holiday restocking peaks; port inventories drop to 2.148M tonnes; SHFE basis tightens to +79 RMB
Hardwood/Softwood Spot Spread USD 62 / ton 445 RMB/ton (-10 RMB WoW) · Hardwood catch-up narrows spread safely below 500 RMB threshold, confirming synchronous price recovery	Taiwan Major Mill Financial Earnings Cheng Loong H1 Profit Surges 52x / EPS NT\$1.45 H1 net profit NT\$1.602B hits 4-year high; Vietnam 1M ton capacity fully booked; Long Chen wins Sustainability Action Award for waste heat recovery	Global Regulatory Milestones GB 4806.10 Active / PPWR 23 Days China food contact coating rule in effect Sept 2; EU customs audit PFAS <50 ppm; EUDR countdown 117 days

1. 10-Point Executive Summary & Strategic Insights

1. **Containerboard** North American Containerboard 9/1 Price Hikes Enacted with Dominant Producer
Pricing Power: PCA (+\$140/short ton), Smurfit Westrock (+\$100/short ton), and IP (+\$80/short ton) have formally executed their third-round price increases in September invoices. Backed by 3.9M tons of permanent capacity retirements and peak seasonal packaging demand, linerboard spot prices push past \$960–\$980/short ton, widening the Raw Material Spread to an unprecedented \$835/short ton.

2. **Global Wood Pulp** **Suzano Raises Asian Pulp Prices by \$20/ton, Concluding 5-Month Bottom Consolidation:** Global pulp leader Suzano announced a \$20/metric ton price hike for China and Asian markets effective September 2026—the first price hike in Asia since April. The move reflects complete global absorption of Cerrado's 2.55M ton supply and low buyer inventories, propelling BHKP spot to 4,420 RMB/ton (USD 615–620).
3. **Peak Season Restocking** **China Imported NBSK Spot Firms to 4,865 RMB/ton on "Golden September" Industrial Demand:** Port pulp inventories across Qingdao and Changshu declined for the eighth consecutive week to 2.148M tonnes. Downstream cultural and packaging mill operating rates reached 68.5%, while SHFE pulp futures settled at 4,786 RMB/ton with cash-futures basis tightly anchored at +79 RMB/ton.
4. **Fiber Equilibrium** **NBSK - BHKP Spread Contracts to 445 RMB/ton (\$62), Affirming Healthy Fiber Co-movement:** Faster hardwood recovery (+55 RMB) against softwood (+45 RMB) converged the spread to 445 RMB/ton, remaining comfortably under the 500 RMB substitution tipping point and eliminating down-trading risks.
5. **Geopolitical Energy** **Brent Crude Steady at \$94.65/bbl, Cementing High Chemical and Freight Surcharge Floors:** Enforcement of the US blockade on Iranian crude keeps Singapore VLSFO elevated, sustaining maritime Bunker Surcharges (BSS); AKD surface sizing, SBR latex, and PE extrusion coatings maintain year-to-date highs.
6. **Taiwan Mill Earnings** **Cheng Loong (1904) Reports H1 Net Profit of NT\$1.602B (Up 52x YoY), with EPS of NT\$1.45:** Ramping of Ping Duong Phase 3 (400k MT/yr) pushed group annual capacity past 1M tons in Vietnam, capturing high-margin export orders displaced by elevated US containerboard pricing.
7. **Corporate ESG** **Long Chen (1909) Awarded Taiwan Sustainable Action Award, 7-Month Pre-Tax Profit Hits NT\$429M:** High operating rates (>95%) across Jiangsu and Hubei mills and proprietary waste heat recovery systems deliver double dividends in carbon reduction and production cost stabilization.
8. **China Regulation** **China GB 4806.10-2025 Food Contact Coatings Standard Officially in Effect (Sept 2):** The revised national standard formally covers paper coatings, imposing strict migration limits on primary aromatic amines, BPA, and heavy metals while accelerating PFAS substitution nationwide.
9. **EU Compliance** **EU PPWR Active for 23 Days; Rigorous PFAS Audits Accelerate Aqueous Barrier Shift:** European customs actively inspect food packaging for total fluorine (<50 ppm) and Design for Recycling (DfR), triggering strong European and Asian demand for certified non-PFAS aqueous coated board from YFY and Chung Hwa Pulp.
10. **Energy Resilience** **Taiwan Mills' Solid Recovered Fuel (SRF) Replacement Exceeds 46%, Anchoring Steam at NT\$735/ton:** Internal circular biomass cogeneration allows Taiwanese mills to decouple steam costs from volatile grid tariffs, creating a distinct margin moat over gas-dependent overseas rivals.

2. Key Performance Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Price	Date	Change	Market Analysis
China Imported NBSK Spot	USD 685 / ton (RMB 4,865)	2026-09-04	+USD 6 (+45 RMB)	Peak season procurement advances, firming NBSK price floor
China Imported BHKP Spot	USD 620 / ton (RMB 4,420)	2026-09-04	+USD 8 (+55 RMB)	Suzano leads \$20/ton Asian price increase; operating rates solid
SHFE NBSK Futures Settlement	USD 675 / ton (RMB 4,786)	2026-09-04	+USD 5.5 (+38 RMB)	Cash-futures basis tightly balanced at +79 RMB/ton
China Mainstream Port Pulp Inventory	2.148M tonnes	2026-09-04	-36k tonnes	8th consecutive week of port destocking
NBSK - BHKP Spot Spread	USD 62 / ton (RMB 445)	2026-09-04	-USD 1.5 (-10 RMB)	Hardwood recovery stabilizes spread safely below 500 RMB threshold
Europe Imported NBSK Spot (CIF)	USD 1,230–1,295 / ton	2026-09-04	+USD 10	Nordic mill curtailments sustain persistent global premium

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Price	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 135–137 / short ton	2026-09-04	+\$1	Steady Asian packaging procurement bolsters export prices
US 11# OCC Export FAS (East Coast)	USD 137–139 / short ton	2026-09-04	+\$1	Transatlantic shipments balance east coast recycled fiber supply
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-09	Realized	High containerboard run rates (92%) provide resilient domestic fiber demand
China Domestic OCC Benchmark (Grade A)	USD 284 / ton (RMB 2,010)	2026-09-04	+15 RMB	Nine Dragons / Shanying raise scrap cardboard collection quotes
Taiwan Domestic OCC Mill Gate Price	USD 130.8 / ton (NT\$ 4,200)	2026-09-04	Flat	Domestic recycling collection and mill procurement strictly balanced

2.3 Paperboard & Finished Products

Market	Product	Action / Hike	Effective Date	Value Chain Impact
US	Containerboard	PCA +\$140, SW +\$100, IP +\$80	2026-09-01 (Enacted)	Full billing execution across major boxmakers and contract tiers
US	Raw Material Spread	USD 835 / short ton (NT\$ 26,800)	2026-09-04	All-time record margin buffer for North American integrated mills
Europe	Kraftliner / Testliner	+€40–60 / ton hike implemented	2026-09-01	Transfers chemical, starch, and maritime transport inflation
China	White Cardboard / Food Grade	Cumulative +300 RMB / ton	Fully Implemented	GB 4806.10 enactment on Sept 2 spurs non-fluorine barrier paperboard orders
Taiwan	Industrial Paper & Cartons	+10% implemented; Vietnam 1M MT online	Full Commercial Run	Robust export packaging margins and electronics/apparel demand

2.4 Forward Outlook Matrix (Energy × Pulp × Paper)

Target Benchmark	Category	Current Base	1M Outlook	3M Outlook	6M Outlook	Trend
Brent Crude Oil	Energy	\$94.65/bbl	\$92–98	\$88–95	\$82–90	Geopolitically Elevated
Taiwan Steam Cost	Energy	NT\$735/ton (\$22.9)	NT\$710–750	NT\$700–740	NT\$690–730	Protected

Target Benchmark	Category	Current Base	1M Outlook	3M Outlook	6M Outlook	Trend
SCFI Freight Index	Freight	3,425.8 pts	3,350–3,550	2,800–3,100	2,200–2,600	Elevated Consolidation
Bleached Softwood (NBSK)	Pulp	USD 685 (4,865 RMB)	\$685–715	\$715–745	\$735–770	Bullish Recovery
Bleached Hardwood (BHKP)	Pulp	USD 620 (4,420 RMB)	\$620–640	\$635–655	\$645–665	Bottom Confirmed
US Containerboard	Paper	+\$80~140 / ton	Full Sept 1 Execution	Peak Firm	Industry Super-Cycle	3.9M tons permanent retirement; record \$835 raw material spread
Ivory / Food Cardboard	Paper	4,550–4,700 RMB	4,650–4,850	4,850–5,100	4,950–5,250	Upward Repricing